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Case Number: 24STCV24230 Hearing Date: September 16, 2026 Dept: 734

Plaintiffs

allege that Defendants have consistently told Plaintiff Dealership's customers that Dealership fabricated their rodent damage claims, that it was attempting to defraud Mercury Insurance, that it was engaged in consistent illegal behavior, and that Dealership was ripping off its customers. Mercury, its agents and employees, and especially Shideh, contacted employees at Dealership and accused them of fabricating evidence, intentionally damaging customer vehicles to make insurance claims, and disparaging Dealership's reputation.

Defendants

Shahorkh Shideh and Shideh Engineering, Inc. move for summary judgment or, in the alternative, summary adjudication as to the Second Amended Complaint.

TENTATIVE RULING

Defendants

Shahorkh Shideh and Shideh Engineering, Inc.'s motion for summary judgment is DENIED.

Defendants'

motion for summary adjudication is GRANTED as to Issue No. 2 re: the second cause of action and DENIED as to Issue No. 3 re: the eighth cause of action.

ANALYSIS

Motion For Summary

Judgment

Reply Evidentiary

Objections

Declaration of Jason Arst

Nos. 1 - 4: OVERRULED.

Based on personal knowledge; goes to weight. The lack of authentication or foundation may be remedied before trial. (Sweetwater Union High School Dist. v. Gilbane Building Co. (2019) 6 Cal.5th 931, 947-49.)

Declaration of Kenny Gutell

No. 5: OVERRULED. Not hearsay. See discussion below.

No. 6: OVERRULED. Not hearsay. See discussion below.

No. 7: OVERRULED. Not hearsay. See discussion below.

No. 8: OVERRULED Sufficient foundation.

No. 9: OVERRULED. Goes to weight.

Declaration of Chad G. Chapman

No. 10: OVERRULED.

The lack of authentication or foundation may be remedied before trial. (Sweetwater Union High School Dist. v. Gilbane Building Co. (2019) 6 Cal.5th 931, 947-49.)

No. 11: OVERRULED. Permissible legal argument by counsel

Discussion

ISSUE NO. 1: DEFENDANTS

ARE ENTITLED TO SUMMARY JUDGMENT ON PLAINTIFFS' ENTIRE SECOND AMENDED COMPLAINT BECAUSE THERE IS NO TRIABLE ISSUE OF MATERIAL FACT AS TO THE TWO REMAINING CAUSES

OF ACTION (TRADE LIBEL AND PROFESSIONAL NEGLIGENCE), AND DEFENDANTS ARE ENTITLED TO JUDGMENT AS A MATTER OF LAW.

As Plaintiff points out in the opposition, Defendants Shahorkh Shideh and Shideh Engineering, Inc. have not addressed all causes of action asserted

in the Second Amended Complaint against them other than the second and eighth causes of action. Following the Court's August 26, 2025 ruling sustaining Defendants' demurrer without leave to amend as to the sixth cause of action and overruling Defendants' demurrer to the second and eighth causes of action, other causes of action which remain pending against Defendants: the first cause of action for defamation per se asserted by Plaintiff Dealership against all Defendants; third cause of action for intentional interference with prospective economic advantage asserted by Plaintiff Dealership against all Defendants; fourth cause of action for negligent interference with prospective economic advantage asserted by Plaintiff Dealership against all Defendants; fifth cause of action for intentional interference with contractual relations asserted by Plaintiff Dealership against all Defendants; and twelfth cause of action for violation of Civil Code § 52.1 asserted by Plaintiff Kassan against all Defendants.

Because these moving Defendants did not address all pending causes of action in this motion, Defendants are not entitled to summary judgment.

The burden of proof imposed upon a party who seeks summary judgment under section 437c is substantial. Where, as here, a defendant is the moving party, its evidence submitted in support of the motion must [*80] either disprove at least one essential element of every cause of action of the plaintiff's complaint or prove an affirmative defense that would bar every cause of action of the complaint. (Citations omitted.)

(Twain Harte Assocs. v. County of Tuolumne (1990) 217 Cal.App.3d 71 79-80.)

The motion for summary judgment is DENIED.

The Court will proceed to address the alternative motion for summary adjudication.

Motion For Summary
Adjudication

Discussion

ISSUE NO. 2: DEFENDANTS

ARE ENTITLED TO SUMMARY ADJUDICATION ON THE SECOND CAUSE OF ACTION FOR TRADE LIBEL BECAUSE PLAINTIFFS CANNOT ESTABLISH THE ESSENTIAL ELEMENT OF SPECIAL (PECUNIARY) DAMAGES, AND CANNOT IDENTIFY ANY PARTICULAR PURCHASER WHO REFRAINED FROM DEALING WITH PLAINTIFFS IN RELIANCE ON ANY STATEMENT MADE BY DEFENDANTS[1].

Trade libel is an intentional disparagement of the quality of services or product of a business that results in pecuniary damage to the plaintiff. (Citations omitted.) Like defamation, trade libel requires a false statement of fact, not an expression of an opinion. (Citations omitted.) To constitute trade libel the statement must be made with actual malice, that is, with knowledge it was false or with reckless disregard for whether it was true or false. (Citation omitted.) The plaintiff must also plead and prove it actually suffered some pecuniary loss. (Citation omitted.)

(J-M Manufacturing Co., Inc. v. Phillips & Cohen LLP (2016) 247 Cal. App. 4th 87, 97.)

Generally,
publication to a person other than the person defamed suffices:

Defendant argues that plaintiff did not allege publication of these statements because plaintiff alleged only that the statements were made by one of defendant's employees to other employees of defendant. This argument is without merit as publication occurs when a statement is communicated to any person other than the party defamed. (Citation omitted.)

(Kelly v. General Telephone Co. (1982) 136 Cal.App.3d 278, 284.)

Here, if Shideh intentionally made false statements to Mercury which accused Plaintiffs of attempting to engage in insurance fraud, it is foreseeable that Shideh's statements would be repeated to the insureds as the reason for denial of a claim, which in turn would be reported to Plaintiffs.

Here,
the 2AC alleges that disparaging statements were conveyed to the insureds:

105. In the White

Letter and Vincer Letter, Sandbakken unequivocally stated to both Insured White and Insured Vincer that the damage to their vehicles, Hyundai One and Hyundaiwo, were caused by Dealership's faulty service. Sandbakken's statements reflected Shideh's conclusions about the damage to the vehicles.

(2AC, ¶ 105 [bold emphasis and underlining added].)

109. Similarly,

Datko made statements to Insured Meyberg via email correspondence on September 3, 2024, September 4, 2024, and September 5, 2024, that Dealership was engaged in insurance fraud and was intentionally damaging its customer's vehicles for financial gain.

(2AC, ¶ 109 [bold emphasis and underlining added].)

Plaintiffs

assert that they have pled special damages in that:

Paul Vincer (husband

of Insured Vincer), turned hostile with Dealership's personnel, and Paul Vincer refused to pay for repairs, stating he would not be returning to the Dealership.

Paul Vincer stated he was performing these actions because his insurance company advised him the Dealership had damaged the wire harness in the vehicle and because of this the insurance claim was denied. Thus, Dealership suffered special damages because it was not paid for its work and lost future business due to Defendants' actions.

(2AC, ¶ 112 [bold emphasis added].)

While a cause of action for trade libel "resembles that for defamation

... [it] differs from it materially in the greater burden of proof resting on the plaintiff, and the necessity for special damage in all cases. ... [T]he plaintiff must prove in all cases that the publication has played a material and substantial part in inducing others not to deal with him, and that as a result he has suffered special damages." (Erlich v. Etner (1964) 224 Cal.App.2d 69, 73 [36 Cal. Rptr. 256] (Erlich).) At a minimum, a trade libel cause of action requires: "(1) a publication; (2) which induces others not to deal with plaintiff; and (3)

special damages.” (Nichols v. Great American Ins. Companies (1985) 169 Cal.App.3d 766, 773 [215 Cal. Rptr. 416].)

Thus, unlike a claim for defamation, trade libel requires as an essential element that the plaintiff suffered direct financial harm because someone else acted in reliance on the defendant’s statement. (CACI No. 1731.) To establish this element, “is not enough to show a general decline in [plaintiff’s] business resulting from the falsehood, even where no other cause for it is apparent, ... it is only the loss of specific sales that can be recovered. This means, in the usual case, that the plaintiff must identify the particular purchasers who have refrained from dealing with him, and specify the transactions of which he claims to have been deprived.” (Erlach, supra, 224 Cal.App.2d at p. 73; see Mann v. Quality Old Time Service, Inc. (2006) 139 Cal.App.4th 328, 335–336 [42 Cal. Rptr. 3d 607] [plaintiff failed to establish probability of prevailing on trade libel claim in opposition to special motion to strike where plaintiff “did not present any evidence showing it had suffered a specific pecuniary loss as a result of the defendant’s communications”].)

Thus, the existence of a specific customer or business entity that refrained from dealing with plaintiff as a result of reliance on the Dupré Reports is an essential factual element of plaintiff’s cause of action for trade libel.

(Muddy Waters, LLC v. Superior Court (2021) 62 Cal. App.5th 905, 925 [bold emphasis and underlining added].)

Defendant makes the following arguments:

First, Paul

Vinceri is not a customer of Plaintiffs. Plaintiffs’ own pleading acknowledges he is merely the “husband of Insured Vinceri.” The insured customer is Lisa Vinceri, not her spouse. A non-customer spouse cannot satisfy the requirement for “specific customer or business entity that refrained from dealing with plaintiff.”

Second, even

if Paul Vinceri could be considered a customer, his reaction was not based on any statement by Shideh. Undisputed facts establish Paul Vinceri’s dissatisfaction was based on Mercury’s communication that damage was attributed to the dealership. Shideh made no direct communication to Paul Vinceri or any other third party.

Third, Plaintiffs

cannot establish they lost Paul Vinceri's business. Plaintiffs voluntarily chose to pay for repairs to maintain customer goodwill. This was Plaintiff's voluntary business decision, not a loss of business proximately caused by Shideh's statements. Thus, Plaintiffs cannot show that Shideh communicated his opinion to anyone other than Mercury nor can Plaintiff Westlake show that it suffered a pecuniary loss directly related to the statement. At best, Plaintiff Westlake can show that the spouse of one of its customers was unsatisfied—which is not sufficient.

In

the Reply, Defendant argues that Plaintiff's only causation evidence (set forth in the Declaration of Kenny Gutell)[2] is inadmissible multiple hearsay offered for the truth of each statement, as follows: (1) Shideh's supposed statement to Mercury; (2) Mercury's supposed statement to Mr. Vinceri; and (3) Mr. Vinceri's statement to Mr. Gutell. Multiple hearsay is admissible only if each level falls within an exception. (Evid. Code, §§ 1200, 1201.)

The

Court's analysis is as follows:

First,

to the extent that the Vinceri household chose to take its business to other service/repair shops besides Plaintiffs', this would constitute lost future income.

Second,

the fact that Shideh did not make a direct statement to Paul Vinceri or another third party besides Mercury does not break the chain of causation. (See discussion of intervening cause below re: Issue No. 3.)

Third,

Plaintiffs voluntarily paying for repairs is not the only damages claimed. The loss of the Vinceri household's future service/repair business is the special damages allegedly flowing from the trade libel.

Fourth,

Shideh's statement to Mercury and is being offered to prove that Shideh imparted certain information and that Mercury acted in conformity with a belief that Shideh's statement was true:

This is an example of “ ‘one important category of nonhearsay evidence—evidence of a declarant’s statement that is offered to prove that the statement imparted certain information to the hearer and that the hearer, believing such information to be true, acted in conformity with that belief. The statement is not hearsay, since it is the hearer’s reaction to the statement that is the relevant fact sought to be proved, not the truth of the matter asserted in the statement.’ ”

(People v. Livingston (2012) 53 Cal.4th 1145, 1162 [bold emphasis added].)

Mercury’s statement to Vincerti (either the insured or her husband) is being offered to show Mercury’s reason for denial of the insurance claim:

n. 2 A well-established exception or departure from the hearsay rule applies to cases in which the very fact in controversy is whether certain things were said and not whether these things were true or false, and in these cases the words are admissible not as hearsay, but as original evidence. (Citation omitted.) Thus, written or oral utterances, which are acts in themselves constituting legal results in issue in the case, do not come under the hearsay rule. (Citation omitted.)

(Zuckerman v. Pac. Sav. Bank (1986) 187 Cal.App.3d 1394, 1404 n. 2.)

Finally, Mr. Vinceri’s statement to Mr. Gutell (service manager) is evidence of Vinceri’s then existing statement of mind or emotion regarding his reason why he would not return to Westlake for services and repair.

Evid. Code § 1250 provides:

(a) Subject to Section 1252, evidence of a statement of the declarant’s then existing state of mind, emotion, or physical sensation (including a statement of intent, plan, motive, design, mental feeling, pain, or bodily health) is not made inadmissible by the hearsay rule when:

(1) The evidence is offered to prove the

declarant's state of mind, emotion, or
physical sensation at that time or at any other time when it is itself an issue
in the action; or

(2) The evidence is offered to prove or explain
acts or conduct of the declarant.

(b) This section does not make admissible evidence of a statement of memory or belief
to prove the fact remembered or believed.

(Evid. Code § 1250 [bold emphasis added]).

Nonetheless,
the key question is whether the Vinceris returned to Westlake for services/repairs
even after Westlake absorbed the \$1,000 cost for repairing the wiring harness. In
this regard, Plaintiff did not introduce evidence that it permanently lost the Vinceris'
business.

9.

Mr. Vinceri specifically told me that he would not pay the \$1,000.00 for
the repair to Hyundai Two. He further stated that he would no longer bring Hyundai
Two, or any vehicle, back to Westlake for service and repairs if he had to pay
for the repair to Hyundai Two. He based this on what the insurance carrier told
him as a result of Mercury's inspection of Hyundai Two.

10. Mr. Vinceri then demanded the return
of Hyundai Two and refused to pay the costs for Westlake's repair of Hyundai Two's
wiring harness. Accordingly, Westlake could not collect the \$1,000 for the repair
and had to waive it.

(Gutell Decl., ¶¶ 9, 10 [underlining
added].)

Plaintiffs

failed to produce evidence which raises a triable issue of material fact as to the
loss of the Vinceris' future business even after Plaintiffs absorbed the \$1,000
cost. The Court agrees with Defendants'
contention that costs Plaintiffs absorbed by choice do not constitute special
damages proximately caused by Defendants. (See Peebler v. Olds (1945) 71
Cal.App.2d 382, 389) As such, Plaintiffs have not raised a triable issue

of material fact as to special damages.

The

motion for summary adjudication as to Issue No. 2 re: the second cause of action is GRANTED.

ISSUE NO. 3 DEFENDANTS

ARE ENTITLED TO SUMMARY ADJUDICATION ON THE EIGHTH CAUSE OF ACTION FOR PROFESSIONAL NEGLIGENCE BECAUSE DEFENDANTS DID NOT OWE PLAINTIFFS A DUTY OF CARE UNDER SANCHEZ V. LINDSEY MORDEN CLAIMS SERVICES, INC. (1999) 72 CAL.APP.4TH 249, PLAINTIFFS HAVE NO EXPERT TESTIMONY ESTABLISHING ANY BREACH OF THE PROFESSIONAL STANDARD OF CARE, AND DEFENDANTS' REPORTS TO MERCURY WERE NOT A LEGAL CAUSE OF ANY DAMAGES.

A. Re: Whether Defendants owed Plaintiff
a duty of care

The elements of a cause of action for professional negligence are (1) the existence of the duty of the professional to use such skill, prudence, and diligence as other members of the profession commonly possess and exercise; (2) breach of that duty; (3) a causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional negligence. (Ibid.)

(Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Defendants' citation to Sanchez v.

Lindsey Morden Claims Services, Inc. (1999) 72 Cal.App.4th 249, is inapposite.

Sanchez held that insurer-retained adjusters do not owe a duty of care to claimants. "In summary, the policy analysis mandated under Biakanja and Bily militates against imposing in California a new duty of care owed by insurer-retained adjusters to insureds." (Id., at 255.)

However, Plaintiffs in this case are not "claimants," i.e., insureds. As such, Sanchez does not control. Rather, the Court applies the Biakanja factors relative to the non-insured Plaintiffs:

1. Duty of care owed to third parties

"Whether a duty exists is a question of law to be resolved by

the court.” (Citations omitted.) The general rule governing duty of care is set forth in Civil Code section 1714. (Citation omitted.) Civil Code section 1714, subdivision (a), provides, “Everyone is responsible, not only for the result of his or her willful acts, but also for an injury occasioned to another by his or her want of ordinary care or skill in the management of his or her property or person” Under this provision, “[i]n general, each person has a duty to act with reasonable care under the circumstances.” (Citation omitted.)

However, “[d]uty is not universal; not every defendant owes every plaintiff a duty of care. A duty exists only if “the plaintiff’s interests are entitled to legal protection against the defendant’s conduct.”” (Citations omitted.) For example, “[t]he law does not impose the same duty on a defendant who did not contribute to the risk that the plaintiff would suffer the harm alleged.” (Citation omitted.)

A significant exception to the general duty of care under Civil Code section 1714 applies where the defendant causes only economic loss, commonly called the “economic loss rule.” (Sheen, *supra*, 12 Cal.5th at p. 922 [“The [economic loss rule] is deceptively easy to state: In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.”]; see *Gas Leak Cases*, *supra*, 7 Cal.5th at p. 406 [liability in negligence for “purely economic losses” is “the exception, not the rule”].)

This case presents such a situation—the Law Firm alleges it suffered solely an economic loss as a result of Chase’s negligence in releasing all the funds in the blocked account to Brumfield. Although the economic loss rule is therefore implicated, there is an exception to the rule’s limitation on liability where the plaintiff and defendant have a special relationship and policy considerations support finding a duty. (Citations omitted.) As the Supreme Court explained in *Gas Leak Cases*, “The primary exception to the general rule of no recovery for negligently inflicted purely economic losses is where the plaintiff and the defendant have a ‘special relationship.’ [Citation.] What we mean by special relationship is that the plaintiff was an intended beneficiary of a particular transaction but was harmed by the defendant’s negligence in carrying it out.” (Citation omitted)

... [*194] ...

The Supreme Court in *Biakanja*, *supra*, 49 Cal.2d at page

650 explained “[t]he determination whether in a specific case the defendant will be held liable to a third person not in privity is a matter of policy and involves the balancing of various factors” The court considered six factors typically described as the Biakanja factors: (1) the extent to which the transaction was intended to affect the plaintiff; (2) the foreseeability of harm to the plaintiff; (3) the degree of certainty that the plaintiff suffered injury; (4) the closeness of the connection between the defendant’s conduct and the injury suffered; (5) the moral blame attached to the defendant’s conduct; and (6) the policy of preventing future harm. (Ibid.; see Gas Leak Cases, supra, 7 Cal.5th at p. 401 [“Discerning whether there is a special relationship justifying liability [for purely economic loss by a third party] can nonetheless be a [*195] subtle enterprise” involving balancing of the Biakanja factors]; J’Aire, supra, 24 Cal.3d at p. 804 [applying Biakanja factors to find duty of care owed to third party lessee]; Beacon Residential Community Assn. v. Skidmore, Owings & Merrill LLP (2014) 59 Cal.4th 568, 578 [173 Cal. Rptr. 3d 752, 327 P.3d 850] [“Biakanja set forth a list of factors that inform whether a duty of care exists between a plaintiff and defendant in the absence of privity.”].)

The Supreme Court in J’Aire, supra, 24 Cal.3d at page 806 emphasized that a “key component” in this analysis is the foreseeability of the harm. However, as the Supreme Court explained in Bily v. Arthur Young & Co. (1992) 3 Cal.4th 370, 398 [11 Cal. Rptr. 2d 51, 834 P.2d 745] (Bily), even where the economic loss is foreseeable, the court has considered factors in addition to those in Biakanja in declining to impose a duty of care, for example, where “damage awards threatened to impose liability out of proportion to fault or to promote virtually unlimited responsibility for intangible injury.” Rather, “[d]eciding whether to impose a duty of care turns on a careful consideration of the ““the sum total”” of the policy considerations at play, not a mere tallying of some finite, one-size-fits-all set of factors.” (Citations omitted.)

(The Law Firm of Fox & Fox v. Chase Bank, N.A. (2023) 95 Cal.App.5th 182, 192-95 [bold emphasis and underlining added].)

Application
of the Biakanja factors:

(1) The extent to
which the transaction was intended to affect the plaintiff;

Given that Defendant Shideh of SEI was sent by Mercury to respond

to insurance claims (see, e.g., 2AC, ¶ 22), there is an implied contractual relationship between Defendants and Mercury, not the dealership Plaintiffs. As such, the transaction was not intended to affect the Plaintiffs.

This factor weighs against a finding of duty.

(2) The foreseeability
of harm to the plaintiff;

As the Supreme Court explained in *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 398 [11 Cal. Rptr. 2d 51, 834 P.2d 745] (*Bily*), even where the economic loss is foreseeable, the court has considered factors in addition to those in *Biakanja* in declining to impose a duty of care, for example, where “damage awards threatened to impose liability out of proportion to fault or to promote virtually unlimited responsibility for intangible injury.” Rather, “[d]eciding whether to impose a duty of care turns on a careful consideration of the ““the sum total”” of the policy considerations at play, not a mere tallying of some finite, one-size-fits-all set of factors.”

Here, it is foreseeable that negligent performance of inspections would affect the Plaintiffs. Because Plaintiff was a foreseeable plaintiff out of only a few foreseeable plaintiffs (the dealership, the customer and Mercury), there is little risk to imposing liability out of proportion to fault or virtually unlimited responsibility for intangible injury.

However:

The California Supreme Court gave limited weight to the foreseeability factor in determining whether a duty existed in *Bily*, *supra*, 3 Cal.4th 370, 398: “Foreseeability of injury, however, is but one factor to be considered in the imposition of negligence liability. Even when foreseeability was present, we have on several recent occasions declined to allow recovery on a negligence theory when damage awards threatened to impose liability out of proportion to fault or to promote virtually unlimited responsibility for intangible injury.” The *Bily* court stated, “[e]mphasizing the important role of policy factors in determining negligence, we observed that ‘there are clear judicial days on which a court can foresee forever and thus determine liability but none on which that foresight alone provides a socially and judicially acceptable limit on recovery of damages for [an] injury.’” (*Id.* at p. 399.)

Here, the Weseloh plaintiffs sought property damages in addition to economic damages. We recognize Bily, supra, 3 Cal.4th 370, 379 involved [*168] only economic damages, and we read Bily in that context. However, we too “will not treat the mere presence of a foreseeable risk of injury to third persons as sufficient, standing alone, to impose liability for negligent conduct. We must consider other pertinent factors.” (Id. at p. 399.)

(Weseloh Family Ltd. Partnership v. K.L. Wessel Construction Co., Inc. (2004) 125 Cal.App.4th 152, 167-68 [bold emphasis and underlining added].)

Overall, this factor favors a finding of duty.

(3) The degree of certainty that the plaintiff suffered injury;

Plaintiffs' reputation could certainly been damaged from being accused of insurance fraud.

Plaintiffs allege that Paul Vinceri (husband of Insured Vinceri), turned hostile with Dealership's personnel, and Paul Vinceri refused to pay for repairs, stating he would not be returning to the Dealership. Paul Vinceri stated he was performing these actions because his insurance company advised him the Dealership had damaged the wire harness in the vehicle and because of this the insurance claim was denied. (2AC, ¶ 112.) This is a certain injury in the form of loss of future repair services rendered to the Vinceri family.

This factor favors a finding of duty.

(4) The closeness of the connection between the defendant's conduct and the injury suffered;

Again, being accused of insurance fraud is closely connected to reputational damage.

Plaintiffs allege that Paul Vinceri (husband of Insured Vinceri), turned hostile with Dealership's personnel, and Paul Vinceri refused to pay for repairs, stating he would not be returning to the Dealership. Paul Vinceri stated he was performing these actions because his insurance company advised him the Dealership

had damaged the wire harness in the vehicle and because of this the insurance claim was denied. (2AC, ¶ 112.) This is a close connection between Defendant's conduct and injury in the form of loss of future repair services rendered to the Vinceri family.

This factor favors a finding of duty.

(5) The moral blame
attached to the defendant's conduct;

If Plaintiffs' allegations of false accusations are proven, there is moral blame attached to Defendants' conduct in deliberately misrepresenting the nature of the damage as man-made when there is overwhelming evidence of rodent damage.

This factor favors a finding of duty.

(6) The policy of
preventing future harm.

The policy of preventing future harm in the context of investigating insurance claims slightly weighs in favor of finding a duty, because dishonest claim investigations may lead to wrongful denial of valid insurance claims. In the present insurance climate, wrongful denial of claims by insurance companies is of paramount concern.

This factor weighs against a finding of duty.

Conclusion

In
light of the foregoing, the Court finds that Defendants owed a duty to Plaintiffs in performing the inspections.

B. Re: Whether Plaintiffs have expert testimony
establishing a breach of the professional standard of care.

Defendants
do not cite evidence that any party served a Code Civ. Proc. § 2034.210 demand for exchange of expert witness information. It is only when expert witness information has not been timely exchanged that the failure to provide expert witness testimony

may be asserted on summary judgment, because such undesignated expert witness testimony would not be admissible at trial:

After a trial date is set, a party may demand a simultaneous exchange of expert witness information by all parties. (Code Civ. Proc., § 2034.210.) Unreasonable failure to respond makes the noncomplying party's expert opinion inadmissible, unless the court grants relief. (§§ 2034.300, 2034.620, 2034.720.) The question here is whether this exclusionary rule applies at the summary judgment stage. The expert witness disclosure statutes provide no answer. However, section 437c, subdivision (d) requires that affidavits and declarations submitted in summary judgment proceedings "set forth admissible evidence." Therefore, we hold that when the court determines an expert opinion is inadmissible because disclosure requirements were not met, the opinion must be excluded from consideration at summary judgment if an objection is raised.

(Perry v. Bakewell Hawthorne, LLC (2017) 2 Cal.5th 536, 538.)

Code

Civ. Proc. § 2034.220 provides:

Any party

may make a demand for an exchange of information concerning expert trial witnesses without leave of court. A party shall make this demand no later than the 10th day after the initial trial date has been set, or 70 days before that trial date, whichever is closer to the trial date.

(Code Civ. Proc. § 2034.220.)

Code

Civ. Proc. § 2034.260(a) provides:

(a) All parties

who have appeared in the action shall exchange information concerning expert witnesses in writing on or before the date of exchange specified in the demand. The exchange of information may occur at a meeting of the attorneys for the parties involved or by serving the information on the other party by any method specified in Section 1011 or 1013, on or before the date of exchange.

(Code Civ. Proc. § 2034.260(a).)

Code

Civ. Proc. § 2034.300 provides:

Except as provided

in Section 2034.310 and in Articles 4 (commencing with Section 2034.610) and 5 (commencing with Section 2034.710), on objection of any party who has made a complete and timely compliance with Section 2034.260, the trial court shall exclude from evidence the expert opinion of any witness that is offered by any party who has unreasonably failed to do any of the following:

(a) List that

witness as an expert under Section 2034.260.

(b) Submit an

expert witness declaration.

(c) Produce reports

and writings of expert witnesses under Section 2034.270.

(d) Make that

expert available for a deposition under Article 3 (commencing with Section 2034.410).

(Code Civ. Proc. § 2034.300.)

As

such, Plaintiffs' failure to identify an expert opinion in the responses to special interrogatory No. 1 (UF No. 19.) does not mean that Plaintiffs will not be able to introduce such expert opinion at trial.

Defendants

have not met their initial burden of demonstrating that there is no triable issue of material fact as to breach of the professional standard of care. The burden does not shift to Plaintiffs to demonstrate that a triable issue of material fact exists.

Moreover,

Plaintiffs have submitted the Declaration of Jason Arst, consulting automotive engineer, who opines that the damage to the wiring harnesses in all three vehicles were not man made. (Arst Decl., ¶¶ 7, 8.) As set forth above, Defendants' objections to this declaration have been overruled.

C. Re: Whether Defendants' reports to Mercury were a legal cause of any damages.

Defendants

argue that Mercury Insurance made independent decisions regarding whether to pay or deny insurance claims, by evaluating Shideh's reports along with other information and exercised its own judgment about claim coverage. (UMF 10.) Mercury drafted and sent its own denial letters without Shideh's participation. (UMF 11-13.)

These independent acts by Mercury constitute intervening causes that break any causal connection between Shideh's reports and Plaintiffs' alleged damages.

[A] supervening or superseding cause, one that breaks the chain of proximate causation, is a "later cause of independent origin" that was neither "foreseeable by the defendant" nor "caused injury of a type which was foreseeable." (Citations omitted.) "[F]or an intervening act properly to be considered a superseding cause, the act must have produced "harm of a kind and degree so far beyond the risk the original tortfeasor should have foreseen that the law deems it unfair to hold him responsible."" (Citation omitted.)

(California Medical Assn. v. Aetna Health of California Inc.
(2023) 14 Cal.5th 1075, 1097.)

It is well settled that proximate causation is not always arrested by the intervention of an independent force. If the original negligence continues to the time of the injury and contributes substantially thereto in conjunction with the intervening act, each may be a proximate concurring cause for which full liability may be imposed. [Citations.]" (Citation omitted.) The precise act need not necessarily be foreseeable, said the court, citing *Taylor v. Oakland Scavenger Co.* (1941) 17 Cal.2d 594, 602 [110 P.2d 1044], *Carroll v. Central Counties Gas Co.* (1925) 74 Cal.App. 303 [240 P. 53], and Restatement of Torts, section 435, for the proposition that when an actor's conduct is a substantial factor in bringing about harm to another, the fact that the actor neither foresaw nor should have foreseen the extent of the harm or the manner in which it occurred does not prevent him from becoming liable. The court concluded that the unforeseeability of the act of the intervening agency does not always provide a reliable criterion of nonliability.

The proper classification of an intervening

act as a concurrent cause or as a superseding cause presents a question of fact, which sometimes may be resolved on motion for summary judgment, but less often can be resolved on demurrer. We think the allegations of the second amended complaint are sufficient to pass the test of general demurrer.

(Bigbee v. Superior Court (1979) 93 Cal. App. 3d 451, 455-56 [bold emphasis added].)

Here, it is foreseeable that Mercury would rely upon and repeat the findings arrived at by Defendants in denying coverage to the insured and cause harm to Plaintiffs' reputation by accusations of causing damage to the wiring and attempting to commit insurance fraud. Defendants' intervening cause argument does not absolve them of liability on summary judgment.

Defendants

also argue that Plaintiffs' voluntary business decisions to pay for repairs to maintain customer goodwill caused their own damages. However, this presents a triable issue of material fact as to whether this was reasonable measure taken to mitigate damages to Plaintiffs' business reputation. That is, a jury could find that trying to do right by customers by absorbing costs which Plaintiffs believe should have been covered by insurance may have reduced damage to the business' reputation:

It has been the policy of the courts to promote the mitigation of damages. (Citations omitted.) The doctrine applies in tort, wilful as well as negligent. (Citations omitted.) A plaintiff cannot be compensated for damages which he could have avoided by reasonable effort or expenditures. (Citations omitted.) The frequent statement of the principle in the terms of a "duty" imposed on the injured party has been criticized on the theory that a breach of the "duty" does not give rise to a correlative right of action. (Citations omitted.) It is perhaps more accurate to say that the wrongdoer is not required to compensate the injured party for damages which are avoidable by reasonable effort on the latter's part. (Citations omitted.) As Judge Friendly observed in *Ellerman Lines, Ltd. v. The President Harding*, *supra*, at p. 290, the current phraseology of the principle may lead to sounder results than its statement in terms of a "duty."

The doctrine does not require the injured party to take measures which are unreasonable or impractical or which would involve expenditures disproportionate to the loss sought to be avoided or which may be beyond his financial means. (Citations omitted.) The reasonableness of the efforts of the injured party must be judged in the light of the situation confronting him

at the time the loss was threatened and not by the judgment of hindsight. (Citation [*397] omitted.) The fact that reasonable measures other than the one taken would have avoided damage is not, in and of itself, proof of the fact that the one taken, though unsuccessful, was unreasonable. (Citation omitted.) “If a choice of two reasonable courses presents itself, the person whose wrong forced the choice cannot complain that one rather than the other is chosen.” (Citation omitted.) The standard by which the reasonableness of the injured party’s efforts is to be measured is not as high as the standard required in other areas of law. (Citation omitted.) It is sufficient if he acts reasonably and with due diligence, in good faith. (Citations omitted.)

(Green v. Smith (1968) 261 Cal.App.2d 392, 396-97.)

The Court notes

that, while no triable issue of material fact exists as to whether Plaintiffs have demonstrated special damages for purposes of trade libel (see discussion re: second cause of action above), the \$1,000 costs of repair which Plaintiffs absorbed that Mr. Vinceri refused to pay is potentially a recoverable cost under the professional negligence theory.

Conclusion

Defendants

have not demonstrated that they are entitled to judgment as to the eighth cause of action. The motion for summary adjudication as to Issue No. 3 re the eighth cause of action is DENIED.

[1] In the

Reply, Defendants assert for the first time that there is no evidence of actual malice. However, this point was not raised in the moving papers, and will not be considered.

[2] Defendants object to the Gutell Declaration

as not having been disclosed in discovery responses. However:

(4) [10:206.5] Evidence not disclosed in discovery: In

the absence of discovery abuse, otherwise admissible evidence may be presented in opposition to a summary judgment motion even if not disclosed in response to earlier discovery requests. [Browne v. Turner Const. Co. (2005) 127 CA4th 1334, 1339, 26 CR3d 433, 443-444—even if duty existed to supplement interrogatory responses, failure to do so would not justify

exclusion of evidence, absent willful violation of court
order for disclosure; Biles v. Exxon Mobil Corp. (2004)
124 CA4th 1315, 1329, 22 CR3d 282, 292]

(California

Practice Guide: Civil Procedure Before Trial, Weil and Brown, The Rutter Group,
§ 10:206.5.)